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POLICY NUMBER: FP-OPSFIN-102

Inventory

This policy details the Hotel requirements for managing and controlling Inventory.

POLICY STATEMENT

This policy includes required steps and procedures for managing and controlling inventory. Hotels should operate at the lowest practical inventory levels to ensure the maximum utilization of cash funds and to reduce possibility of inventory spoilage and theft. This policy defines the items (Food, Beverage, Retail, and Other) which are to be treated as an inventorial asset from a financial reporting perspective.

APPLICABILITY

All Owned & Operated Hotels (including Shared Service Centers supporting these hotels).

EXCLUSIONS/EXCEPTIONS

No exclusions.

A INVENTORY TYPES & COSTING

Inventory Types

- 1) The following are allowable types of inventory that can be maintained on the Balance Sheet:
 - a) Dry Food in excess of \$25k. For the avoidance of doubt, fresh and frozen food is not considered to be dry food inventory.
 - b) Beverage
 - c) Retail in excess of \$10k
- 2) In order to maintain on the Balance Sheet any other inventory type(s) not listed above, the hotel must obtain a policy waiver approved by the Regional Finance Director, per FP-OPSFIN-160 Policy Waivers. Other inventory type(s) must be defined and grouped on the Balance Sheet (i.e., Health Club supplies, guest supplies, fuel, etc.).

Inventory Costing

- 1) All allowable inventory types as defined above (including Other Inventory if approved), must be priced / costed using either First in First Out (FIFO) or Weighted Average method. Any inventory not meeting the monetary thresholds defined above must be direct expensed.
- 2) All fresh and frozen food purchases, as well as dry food that does not meet the monetary thresholds defined above, must be direct expensed.
- 3) It is expected that inventory contained in the dry food storeroom will be maintained at minimal levels. Each hotel should evaluate and take the appropriate actions to reduce dry food storeroom levels to the lowest level practical.
- 4) All retail inventory that does not meet the monetary thresholds defined above must be direct expensed.

B INVENTORY COUNT GUIDANCE

- 1) All counts are to be carried out in pairs (Counter 1 & Counter 2 at minimum) unless carried out by an external stocktaking company, and adhere to the frequencies outlined below.

	Dry Food (in excess of \$25k)	Beverage	Retail (in excess of \$10k)	Other (if approved)
Counter 1	Storekeeping TM or F&B TM	Storekeeping TM or F&B TM	Storekeeping TM or Retail Outlet TM	Storekeeping TM or Other Dept. TM
Counter 2	Finance Team Member or independent Team Member as approved by Finance Leader			
Frequency of Count	Minimum 2x per year	Monthly (should include <u>all</u> items in the storeroom and outlets)	If value of inventory is less than US\$25k, count quarterly. If value of inventory is greater than US\$25k, count monthly.	If value of inventory is less than US\$25k, count quarterly. If value of inventory is greater than US\$25k, count monthly.

- 2) As a best practice, Counter 1 or Counter 2 should be a supervisor or above.
- 3) Inventory count team should be provided the necessary materials or equipment to complete a proper shelf to sheet inventory. The count sheet should list the items to be counted without the quantities pre-populated. If the count team identifies any items not on the list during the count they must record them on the count sheet and also notify the Finance Leader of this omission immediately – i.e., at completion of the count.
- 4) Upon completion of the count, all members of the count team must approve the count sheets to confirm that they agree with the quantities counted and recorded, as evidenced by signature and date.
- 5) An independent Team Member, not involved in the physical count (i.e., not Counter 1 or 2), must then immediately enter the quantity into the inventory system (may be software or excel spreadsheet).
- 6) As a best practice, all inventory counts should occur as part of the month-end closing process to ensure an accurate balance at the applicable accounting period. If this is not operationally feasible due to the size of inventory and/or staffing limitations, an inventory count can be performed up to one week prior to month-end close. If you choose to count inventory early, at year-end, the hotel must adjust for all deliveries received and requisitions taken during the stub period (i.e., from the date of the inventory count to the last day of the year).
- 7) After the month-end count, all slow moving inventory items must be reviewed. Appropriate action must be taken to try and utilize all inventory which has not moved in three months. Any inventory item which has not moved in six months must be reviewed to assess if it is required to be written off or if an alternative appropriate action can be taken. For any inventory that is to be written off, an inventory write-off form is required to be completed and approved by the Finance Leader. Food write-offs must also be reviewed and approved by the Executive Chef (or equivalent) in addition to the Finance Leader. This form may vary from hotel to hotel but must contain at a minimum:
- Description of Inventory
 - Inventory Value per Balance Sheet
 - Quantity
 - Date of last known inventory movement
 - Signature and date area for applicable approver(s)
- 8) All inventory items that are written off must be destroyed in an appropriate manner (i.e., should not be used in the kitchen, given to a Team Member, etc.).

Perpetual Inventory System Guidance

- 9) For Perpetual Stock Systems, the following procedures must be carried out:
 - a. A variance analysis must be performed between the actual count and the recorded count by a member of the Finance team who is independent of the count process.
 - b. All differences identified as part of the variance analysis should be brought to the attention of the Finance Leader. The Finance Leader must decide whether an investigation and/or re-count is required.
 - c. If the re-count still results in a variance, then the difference must be adjusted in the applicable month. All adjustments to inventory require the written approval of the Finance Leader, irrespective of the value or quantity.

C SECURITY OF INVENTORY

- 1) All inventory items are required to be stored in a secure and locked location (i.e., in a dedicated storeroom or storage area)
- 2) Access to the inventory storeroom areas should be limited to Team Members who have a business need and the total number of Team Members with access should be kept at the lowest level practical.
- 3) A storeroom access policy should be defined by the Hotel and approved by the General Manager, including at a minimum:
 - a) List of Team Members who are authorized to access the storeroom(s)
 - b) Storeroom hours
 - c) After hours requisition process
 - d) Explanation of how authorized Team Members will access the storeroom(s) (i.e., key or card security process)
- 4) Storeroom hours and list of authorized Team Members must be posted at the storeroom entrance
- 5) High dollar value inventory items (as defined by the Hotel) must be kept in locked cages within the relevant storeroom(s), to ensure increased security.
- 6) All keys or cards to the storeroom(s) must be kept on-site at the Hotel. Authorized Team Members are not allowed to take a key or card off premises. The number of keys or cards to the storeroom(s) should be kept at the lowest level practical. As a best practice, there should be no more than five total keys or cards at the Hotel for each storeroom.
- 7) The keys or cards to the storeroom(s) must be kept in a secured location and tracked through a key log. For example, a sealed bag or key control envelope that once opened cannot be resealed, or an electronic key tracking system).
- 8) All keys or cards checked out to an authorized Team Member must be returned at the end of their shift.
- 9) An authorized Team Member must be present while the storeroom is open.
- 10) There must be an operationally urgent business need to access the storeroom(s) after hours and the frequency of these occurrences should be kept to a minimum.
- 11) The after hour requisition process should include at a minimum:
 - a) A requirement that one authorized Team Member and one witness open the storeroom together
 - b) A requisition form must be completed and include signatures of the authorized Team Member and the witness
 - c) These occurrences should be tracked to ensure that appropriate action can be taken if they become too regular.

D INVENTORY REQUISITIONS

- 1) An item can only be issued from the storeroom if accompanied with a signed requisition form (may be paper or electronic format). The requisition form must contain the following at a minimum:
 - a) Sequentially pre-numbered form, if paper
 - b) Signature and date area for authorizing Manager or Department Head, inventory item issuer, and Team Member receiving the item
 - c) Description of Item
 - d) Quantity of Item
 - e) Outlet/Department requesting item(s)
- 2) As a best practice, requisitions should be recorded on the same day that the item is issued from the storeroom and all requisitions must be recorded prior to month-end close.
- 3) Transfers between storeroom locations are to be treated as a requisition.
- 4) Outlets are required to requisition inventory from the storeroom(s) only to replenish the par stock levels. In the event an outlet is expecting a high level of business, additional inventory may be requisitioned, but the reason must be stated on the requisition form. Any excess inventory that is left over after business levels have returned to normal is to be returned to the general storeroom and is to be treated as a transfer.

DEFINITIONS

TERM/ACRONYM	DEFINITION
FIFO	First in First Out inventory valuation method. The item cost of the applicable inventory item under the FIFO method is the last received cost per item.
Par Stock Levels	A predetermined level of stock which allows the outlet or department to function efficiently without impeding cash flow due to excess inventory.
Weighted Average	Inventory valuation method typically used in conjunction with an automated inventory program. The item cost of the applicable inventory is based on the purchase prices of the in stock items.
Finance Leader	Ranking Accounting / Finance representative for the property (i.e., DOF, Controller, or Finance Manager).
Regional Finance Director	Regional Team Member responsible for the Accounting/Finance functions of a set of Hotels. Property Finance Leader has a direct or indirect reporting relationship to this individual.